

- Question:
- A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?
- Answer Choices:
- A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.

B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.

C. No, a bar of assignment can only be enforced if it is notarized and legally binding.

D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.

E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.

F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.

G. No, a bar of assignment is an unconstitutional deprivation of due process.

H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.

I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.

J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

<reasoning process here>

The question involves a contractual restriction on assignment – specifically, a clause that prohibits the assignment of the contract or its terms. The distributor assigns its right to receive the funds, which is a right that arises under the contract. The key issue is whether a court will enforce a general prohibition against assignment that applies to the right to receive payment.

In contract law, a prohibition against assignment is generally enforceable, but courts often interpret such provisions narrowly. A key principle is that a party’s right to receive payment (the right to receive money) is often considered a "right to receive performance" and is not always subject to a general assignment restriction. In particular, the right to receive payment from a contract is often seen as a "right to receive money" which is not the same as the right to assign the contract itself.

Moreover, in many jurisdictions, courts will not enforce a bar against assignment if it prevents the performance of the contract or if it interferes with the economic interests of a party. In this case, the distributor is assigning the right to receive funds – not the contract itself – and if that assignment does not interfere with the performance of the contract (i.e., the medical center still receives the tubes), the right to receive funds may be considered separable from the contract and thus not subject to the assignment restriction.

Additionally, under the general rule of contract law, a restriction on assignment that applies to the right to receive payment (e.g., payment due under the contract) is often unenforceable because such rights are considered "personal" or "incidental" and not part of the contractual rights that can be assigned. The right to receive money is not the same as the right to assign the contract.

Therefore, the most accurate answer is that a court will not enforce the bar against assignment when it relates to the right to receive funds, because such rights are typically not assignable under a general assignment restriction.

Thus, the correct answer is one that reflects that the bar does not apply to the right to receive funds.

Looking at the choices :

A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated. – This aligns with standard contract law principles.

B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds. – This contradicts established principles.

C. No, a bar of assignment can only be enforced if it is notarized and legally binding. – Not a valid legal principle; notarization is not required.

D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated. – Incorrect; such bars are generally not favored.

E. Yes, a contractual provision prohibiting assignments is enforceable in all respects. – Overbroad; not enforceable against payment rights.

F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds. – Incorrect; courts generally won't enforce such bars on payment rights.

G. No, a bar of assignment is an unconstitutional deprivation of due process. – Not supported by law; no constitutional basis.

H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract. – This is plausible, but not the standard rule; courts don't typically invalidate assignment bars just because they inhibit performance.

I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business. – Not a recognized legal ground.

J. Yes, a contractual